

Reading Summary of ‘Testing for Assymmetric Information in Insurance Markets’ and ‘Testing for Assymmetric Information in Insurance Markets Using Unused Observables’

Tate Mason

Summary of “Testing for Asymmetric Information in Insurance Markets”

Broad Question

This paper seeks to implement testing for asymmetric information, and show it's well suited to insurance data.

Specific Question

The authors seek to exploit the statistical properties of asymmetric information, a correlation between conditional distributions, to implement their testing for its presence. Further, they will use insurance data from France to demonstrate the empirical validity of this test.

Policy Implications

If there is a testing measure for asymmetric information which can be used to test the validity of potential policy implications, that is of the utmost value to policymakers. Thus, this paper is useful for the methodology, as well as providing a roadmap for use in a market which is the frequent subject of policy, insurance.

Economist Care

The reason economists should care about this paper is similar to why a policymaker should. First, new testing methodology for asymmetric information's presence. This could be a useful tool to go in the econ toolbox. Secondly, application to a heavily studied market, insurance, is valuable for its contribution to a well-studied literature.

What we Learn

We learn, mostly, about how to design a testing procedure and how to push back against common methods. They find little to no evidence of adverse selection nor moral hazard. However, they provide a good dataset for future use and push the scholarship forward.

Summary of “Testing for Asymmetric Information in Insurance Markets Using Unused Observables”

Broad Question

This paper utilizes residential information in the UK annuities market to test whether this unused information would have a meaningful impact on pricing.

Specific Question

Using UK data on the 1990’s annuities market, the authors test for asymmetric information, looking to understand how observed, but unused, location information has an impact on contract choice of agents. They build on a previous version of positive correlation testing from their 2004 paper, thus hoping to iterate and improve.

Policy Implication

Very similar to above, but here the authors provide a framework which could aid policymakers in contract regulation placed on insurers. Thus, this paper allows for more methodology to test the validity of potential policy remedies to inefficiencies.

Economist Care

Very similar to the answer for the other paper. More tools for the toolbox, and a unique application to cool data.

What we Learn

The authors introduce a more robust testing procedure, allowing for unobserved preference heterogeneity, a limitation of the positive correlation test. They find adverse selection, of some sort, is present when there is asymmetric information. They ultimately find that geographic location was correlated with both survival probability and contract choice, thus insinuating there is asymmetric information in the annuity market.